

**AB2849 – Promote Worker Ownership**  
**Phase 1 Study Plan**

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AB2849 **establishes a panel** to conduct a study regarding the creation of an **Association of Cooperative Labor Contractors** among other potential activities for the purpose of facilitating the growth of democratically run high-road cooperative labor contractors. AB2849 requires the **study to consider specified issues, including how to promote tenets of democratic worker control and ensure that the association's members offer high-road jobs**. AB2849 requires the panel, in preparing the study, to engage in a stakeholder process by which it consults with, at a minimum, organized labor, worker cooperatives, and business groups that can assess the opportunities and challenges associated with expanding workplace democracy.

This report outlines the research methods for our literature review, case studies, and statistical analyses.

### **Protocol for literature review**

We will review the literature on the effects of worker-owned firms on company and employee outcomes. The key questions include the effects of ownership, barriers to ownership, and cost-effective policies to overcome those barriers.

Our review will build on existing reviews such as:

- Douglas Kruse 2022 "Does employee ownership improve performance? Employee ownership generally increases firm performance and worker outcomes" <https://wol.iza.org/uploads/articles/613/pdfs/does-employee-ownership-improve-performance.pdf?v=1>
- Adria Scharf 2021 "How Employee Share Ownership Strengthens Job Quality: Why Job Quality Strategies Should Focus on Transitioning Family-Owned Businesses to Their Employees"
- Sanjay Pinto, Camille Kerr, Ra Criscitiello 2021 "Shifting power, Meeting the Moment: Worker Ownership as a Strategic Tool for the Labor Movement." [https://cleo.rutgers.edu/wp-content/uploads/2021/12/Shifting\\_Power\\_Meeting\\_the\\_Moment.pdf](https://cleo.rutgers.edu/wp-content/uploads/2021/12/Shifting_Power_Meeting_the_Moment.pdf)
- Jenny Weissbourd et al 2021 "Race and Gender Wealth Equity and the Role of Employee Share Ownership" <https://www.aspeninstitute.org/wp-content/uploads/2021/03/Race-and-Gender-Wealth-Equity-and-the-Role-of-Employee-Share-Ownership.pdf>

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Our review will distinguish companies with Employee Stock Ownership Plans (ESOPs) and worker cooperatives. It will distinguish further among the ESOP companies between those with high or low levels of workplace democracy. “Workplace democracy” is a complex topic, so we will examine metrics ranging from employees selecting members of a corporate board to employee involvement in daily decisions.

Our review will pay special attention to the effects of employee ownership for low and moderate wage workers, and for marginalized communities and workers. Our indicators of disadvantage will include low-wage occupations, low wage industries such home health care and restaurants, and workers who are people of color, immigrants, or have high school education or less.

Our review will be narrative in nature, although we will refer to results from statistical meta-analyses on specific questions such as how worker ownership affects productivity (Kruse 2021).

We will include publications utilizing a variety of different research methodologies in the review, including both statistical studies and matched case studies (comparing employee-owned firms with traditional firms). We will focus primarily on findings from the United States.

### **Key informant interviews**

Our key informants will be practitioners who have worked promoting employee-owned firms for many years. We will draw on their expertise to identify market and government failures and to learn their thoughts on cost-effective policies to overcome those barriers.

We will examine

- The role, mission, and relevant programs of each association.
- Key informant perceptions of barriers to significantly expanding meaningful forms of worker ownership in California
- Their ideas for cost-effective public policies and interventions to overcome these barriers.
  - After we gather their ideas, we will ask them about a list of potential policies such as online training for employee owners and changings in employment regulations to support employee ownership. We will specifically solicit their views on an Association of Cooperative Labor Contractors. We will focus on the SEIU proposal for such an Association.

### **Case studies**

We will analyze three pairs of employers. In each pair, one case study site will be employee owned. The other will be a traditional employer. Two of our employee-owned

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case studies will be coops of contractors. The goal of the case studies is to shed light on the effects of coops on low-wage employee-owners.

The case studies will outline the history of the company and how it came to be worker owned (e.g., founded as a coop, converted a business into an ESOP, etc.). We will study the management structures, focusing on the mechanisms for employee democracy and voice. We will explore the ownership structure and how it affects compensation. If a union is present, we will also explore relations with the union and the union's role in worker ownership.

We will look at outcomes for employees such as wealth accumulation and compensation, including profit sharing, benefits, and retirement savings. We will also examine other economic outcomes such as job security (e.g., during the COVID lockdowns), career paths, and training opportunities. Additional important outcomes include perceptions of empowerment and autonomy at work, and opportunities to exercise voice and participate in governance.

Outcomes for the companies will include profitability and growth. We will examine how employee ownership affects the ability to hire and retain employees, productivity and product quality, relations with banks, and relations with customers.

### **Recruitment of case study sites**

We will select several cases of companies to study. The goal of the case studies will be to understand how employee ownership affects employees and the company.

We have spoken to experts in the field to identify candidate ESOPs and coops with (1) majority worker ownership; (2) meaningful employee democracy; and (3) a low-wage sector or workforce. The advisory board for this study (the composition of which is laid out in AB 2849) and the public has also had a chance to comment. They made many valuable suggestions, which we attempted to incorporate (subject to our constraint of only 3 employee-owned case studies).

Examples of workplaces that are candidates include:

- Farms such as Porterville Citrus and Tanimura & Antle
- Construction companies such as American Asphalt and West Valley Construction
- Health care placement agencies and employers such as Manos Home Care, Courage Homecare, AlliedUP, EmpRes Healthcare Management, and Orban Health
- Candidates in other sectors such as Michael's Transportation (bus drivers), Berrett-Kohler publishers, and Recology (garbage and recycling).

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For each employer-owned company, we will also identify a matched capitalist employer in the same region and industry and with similar employment.

Minsun Ji, who is leading one case study, already knows the leadership at her focal case study site. MacKenzie Scott (who is leading the other two case study pairs) is at the Sloan School, MIT, which has good connections to another of our focal sites.

We will contact the other employers using our social network. For example, the National Center for Employee Ownership suggested several employers on our list. We will ask them for introductions to some, as needed.

The script for case study site recruitment is:

**Hello. My name is [Name]. I am a researcher at [MIT / UC Berkeley/ the Rocky Mountain Employee Ownership Center (RMEOC)]. The state of California has asked Professor David Levine at UC Berkeley to study how ownership structures affect workplaces. We are interested in doing a case study of your company because it is employee owned.**

**Agreeing will involve inviting one to five managers to interviews. The interviews are about one hour.**

**If you agree, we will also ask you to introduce us to a sample of up to 15 of your employees. We would like to interview them on their experience of working at this company. Those interviews will be about 45 minutes.**

**Any manager or employee can decline to participate. Even if they agree, they can decline to answer any questions and they can end the interview at any time.**

**The case study will cover**

- **The history of the company and employee ownership**
- **Structure of the ESOP [or worker cooperative]**
- **[if an ESOP] What is the vesting schedule, allocation formula, provisions for employee voice or governance? What proportion of employees are ESOP participants?**
- **[If a worker cooperative:] What are the requirements of membership, democratic governance features, and profit-sharing arrangement? What proportion of employees are members?**
- **Management structures, Human Resources, and decision-making**
- **[If a union is present:] relations with the union and the union's role in worker ownership**
- **Barriers your organization faces to expansion**

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**If helpful, we can carry out the interview in an employee’s native language.**

**We will not name you or your company in our write-up of the results.**

### **Management sample**

We will interview several managers at each employer.

Our focus will be the CEO and/or COO and head of human resources. At smaller employers (such as Courage) there may be only one or two managers and we will attempt to interview each. We may interview up to 3 additional managers or supervisors. We will probably choose an operational manager and a supervisor but may prioritize a founder or a manager who has been at the company a long time.

The Manager interview guide is at [Manager interview - EO.pdf](#). These will be semi-structured interviews, so the precise order of questions and depth of follow-ups will depend on the flow of the interview.

### **Employee sample**

We will interview up to 15 employees at each employer.

We will focus on the most common occupation(s). Ideally, we will ask managers to identify a list of employees. If needed, we may narrow the eligible population to shifts and locations that are easy for the research team to contact. Among eligible employees, we will select at random.

Structuring each case study will involve a negotiation. Thus, the precise selection mechanism will depend on the outcome of that negotiation. Our goals will be to have a fairly representative sample and to minimize burden on the employer, employees, and our research team. That is, we will avoid having managers select the employees, over-sampling senior employees, etc.

We will ask managers to send employees an introduction to our study:

**Dear [employee name],**

**My name is [NAME]. I am a researcher at [MIT / UC Berkeley/ the Rocky Mountain Employee Ownership Center (RMEOC)]. The state of California has asked UC Berkeley to study employee-owned workplaces. We are**

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**doing a case study of your company focusing on the experience of the workforce.**

**Your name was chosen at random, and your employer agreed to introduce us.**

**Can we speak with you for about 45 minutes? There are no penalties if you decline to participate. Even if you agree, you can decline to answer any questions and you can end the interview at any time.**

We will then contact the selected employees in person and request an interview. We may ask the employer to have managers or supervisors introduce us personally to the employees. We will take informed consent (in the respondent's preferred language) prior to any interview.

Some employees may have an easier time speaking and/or reading in their native language. If an employer has a meaningful share of employees most comfortable in a different language, we will translate the recruitment script, informed consent form, and interview schedule. We will also bring a translator to the interview.

We will conduct the interviews in a private location at or near each employee's place of work. If an employee requests, we can perform the interview outside of the workplace such as a nearby cafe or their home. The research team will ensure that interviews are in a private location.

The Employee interview guide is in [Employee interview - EO.pdf](#). Again, these will be semi-structured interviews, so the precise order of questions and depth of follow-ups will depend on the flow of the interview.

Each interview will take less than 45 minutes. Each respondent will have one interview.

### **Matched sample**

For each case study, we hope to interview a matched comparison employer with a traditional ownership structure.

We will look for employers in the same local labor market, same industry, and of roughly the same size. After we identify candidate employers, we will use our social network (including the worker-owned firm) to help introduce us.

Our recruitment script, informed consent, and interview schedules are similar to those for the employee-owned sample.

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The management and employee samples will be determined using the same methods as at the employee-owned firms. The manager and employee interviews at traditional employers will be very similar to those at employee-owned firms, but without the questions on ownership.

**Ethical review, privacy and transparency**

We will submit our research protocol for approval to the Institutional Review Board (IRB) at the University of California, Berkeley (known as the Committee for the Protection of Human Subjects). The protocol will include an informed consent statement for each sample consistent with United States Federal Policy for Protection of Human Subjects (Common Rule 2018).

We will compensate employees for their time and travel, if the employer deems such compensation to be appropriate.

Our Data Management Plan will include means to protect the privacy of respondents. For example, we will keep identifiable data only to compensate respondents, and then destroy it. We will separate identifiable data from interview notes and transcripts. For employee interviews, the identifiable information will be kept in a password protected thumb drive, not connected to the Internet. (We collect names and phone numbers for follow-up and clarifying questions.)

**Analysis of existing employee surveys**

Proponents of worker ownership claim that it improves job quality. For many workers, respect at work is an important contributor to job quality. We posit that ESOPs will improve respect at work. Most managers and professionals at traditional workplaces receive respect at work. Thus, we posit that the increase in respect will be greater for low-wage workers. This analysis is important to motivate policies to promote employee ownership. That is, if employee ownership does not benefit employees—especially low-income employees—then policies to promote ownership should have lower priority than if employees' benefit.

**The existing surveys**

There are two existing data sources we know of that have data on both employee-owners and traditional employees: The General Social Survey<sup>1</sup> and the Rutgers

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<sup>1</sup> Smith, Tom W., Davern, Michael, Freese, Jeremy, and Morgan, Stephen L., General Social Surveys, 1972-2018 [machine-readable data file] /Principal Investigator, Smith, Tom W.; Co-Principal Investigators, Michael Davern, Jeremy Freese and Stephen L. Morgan; Sponsored by National Science Foundation. --NORC ed.-- Chicago: NORC, 2019. 1 data file (64,814 logical records) + 1 codebook (3,758 pp.). -- (National Data Program for the Social Sciences, no. 25).

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surveys.<sup>2</sup>

The General Social Survey (GSS) is a large repeated cross-sectional survey of a representative sample of US adults. In several years it included a module that measured employee stock ownership and a number of workplace characteristics.<sup>3</sup>

The GSS measure of employee stock ownership is broad, so includes more than just ESOPs and coops. If we eliminate managers and employees who receive stock options, we should have a sample that is mostly ESOPs. Unfortunately, the stock option exclusion will also exclude some employees with both options and ESOPs, but that tradeoff seems acceptable given that most option holders are not in an ESOP.

The Rutgers survey started with a sample of employees at nine ESOPs. They then asked similar questions to a fairly diverse sample of respondents who fill out surveys on M-Turk. M-Turk is a site offering small online jobs and is widely used by academics for survey research.

The ESOPs that participated in the Rutgers survey are not necessarily representative of all ESOPs and the respondents on M-Turk are not necessarily representative of all US employees. Nevertheless, these data should shed some light on the differences between the two sectors.

## **Methods**

In each dataset, we will compare outcomes such as respect at work for owners and non-owners who are similar on other characteristics such as age, sex and education. We will also look specifically at whether this relationship holds for low-wage workers.

### **Predicting who is a low wage worker**

The GSS does not collect useful wage data each year. To measure who is a likely low-wage worker, we will first predict wages as a function of age, sex, race, ethnicity, education, occupation, and so forth. We will then estimate predicted wages for each employee. We call workers in the lower third of the predicted wage distribution “low-wage workers.” Presumably, this sector will have more women, African Americans, Hispanics and immigrants than average.

### **Effects of ownership**

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<sup>2</sup> Jung Ook Kim, Dan Weltmann, and Edward Carberry, *National ESOP Employee Survey*.

<https://smlr.rutgers.edu/faculty-research-engagement/institute-study-employee-ownership-and-profit-sharing/national-esop>

<sup>3</sup> National Institute for Occupational Safety and Health (NIOSH), “Quality of Worklife Questionnaire.”

<https://www.cdc.gov/niosh/topics/stress/qwlquest.html>

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We will then estimate how outcomes such as self-reported respect at work, job satisfaction and intention to quit differ for owners and non-owners with similar observable characteristics. In the GSS, we will also examine self-reports of experiencing racial or sexual discrimination or sexual harassment. For these outcomes we will look at how ownership affects reports of discrimination for women and for people of color.

Importantly, we will include the interaction of ownership and having a low predicted wage, to estimate if ownership has larger (or smaller) effects for low-wage workers.

Because we have a limited number of stock owners, we will do a cross-equation test of the main effects of ownership on all the outcomes. We will then do a separate joint test of all the incremental effects of ownership on low-wage populations. The tests of discrimination on specific groups will be included in both joint tests.

### **Using machine learning**

There are many potential controls including age, sex, education, tenure with this employer, number of children and marital status (interacted with being female), race and ethnicity, employer size, broad industry, broad occupation, region, and so forth. It is also plausible that there will be two-way interactions of these potential controls.

We cannot easily include all of these controls and two-way interactions in a standard regression. To permit a rich set of potential control variables, we will use a machine learning method called “cross-fit partialling out.” A characteristic such as employee education can only cause bias in our estimates of how ownership affects outcomes if the characteristic correlates with either ownership or the outcome. Thus, this method retains control variables that strongly predict either the outcome (such as respect at work) or being an owner.

### **Does ownership matter due to its effects on other management practices?**

We expect the effects of ownership will operate partly through different human resource and management practices. That is, we hypothesize that training, information sharing, employee empowerment, and gainsharing (such as profit sharing or group-based bonuses) are higher for owners. We will test those hypotheses using the same regressions as described above.

We will then include these workplace practices in the regressions predicting respect and intention to quit. This analysis will test if these practices mediate the relationship between ownership and impacts such as respect and intention to quit. For example, assume ownership lowers quits, but only due to higher training and employee participation in firms with employee ownership. In that case, we expect the statistical

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relationship between ownership and quits to disappear if we also control for training and participation.

These analyses can help inform policies promoting ownership. For example, if the benefits of ownership only appear when bundled with supportive management practices, any efforts by the state to promote ownership should promote that bundle of practices.

### **Transparency**

We will post this protocol on an Open Science Foundation (OSF) site to commit ourselves to the specified statistical analyses. As noted above, we will post a more complete statistical analysis plan to the OSF site prior to running the analysis with the actual data.

We will post all of our code on the project website (not yet established). We will post all GSS data, and instructions for requesting the Rutgers surveys.

### **Policy levers**

The final chapter will analyze potential policies to promote high-road democratic employee ownership, with a focus on low-wage workers.

We will examine policies ranging from informing business owners of the potential upsides of ESOPs as a way to sell their business to procurement preferences by state agencies.

We will specifically analyze the existing proposal for an Association of Cooperative Labor Contractors (ACLC), an incubator and conglomerate of coops for contract employees in multiple industries.

### **Budget**

| <b>From:<br/>To:<br/>BUDGET CATEGORY</b>      | <b>7/1/2023<br/>6/30/2024<br/>Year 1</b> | <b>7/1/2024<br/>9/30/2024<br/>Year 2</b> | <b>TOTAL</b> |
|-----------------------------------------------|------------------------------------------|------------------------------------------|--------------|
| <b>PERSONNEL: Salary and fringe benefits.</b> | \$253,112                                | \$99,288                                 | \$352,400    |
| <b>TRAVEL</b>                                 | \$12,600                                 | \$0                                      | \$12,600     |

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|                                                                |                  |                  |                  |
|----------------------------------------------------------------|------------------|------------------|------------------|
| <b>MATERIALS &amp; SUPPLIES</b>                                | \$0              | \$0              | \$0              |
| <b>EQUIPMENT</b>                                               | \$0              | \$0              | \$0              |
| <b>CONSULTANT</b>                                              | \$83,800         | \$0              | \$83,800         |
| <b>SUBRECIPIENT</b>                                            | \$0              | \$0              | \$0              |
| <i><b>Subject to<br/>OTHER DIRECT COSTS (ODC) IDC Calc</b></i> |                  |                  |                  |
| <b>Gael</b>                                                    | \$3,674          | \$1,581          | \$5,255          |
| <b>Service Contract – Editor</b>                               | \$4,000          | \$0              | \$4,000          |
| <b>Service Contract – Translation Services</b>                 | \$4,000          | \$0              | \$4,000          |
| <b>Focus Group Costs</b>                                       | \$12,000         | \$0              | \$12,000         |
| <b>Survey Costs</b>                                            | \$0              | \$0              | \$0              |
| <b>Contingency Funds</b>                                       | \$13,747         | \$3,786          | \$17,533         |
| <b>TOTAL DIRECT COSTS</b>                                      | <b>\$386,933</b> | <b>\$104,655</b> | <b>\$491,588</b> |
| <b>Basis for Indirect Costs</b>                                | \$386,933        | \$104,655        | \$491,588        |
| <b>Indirect Costs @ 35%</b>                                    | \$135,426        | \$36,629         | \$172,056        |
| <b>TOTAL COSTS PER YEAR</b>                                    | <b>\$522,359</b> | <b>\$141,284</b> | <b>\$663,644</b> |
| <b>TOTAL COSTS FOR PROPOSED PROJECT PERIOD</b>                 |                  |                  | <b>\$663,644</b> |

**Timeline**

| <b>Deliverable</b>                                                                                  | <b>Date</b>         |
|-----------------------------------------------------------------------------------------------------|---------------------|
| <b>Circulate study design report and draft interview forms for managers and for employee-owners</b> | Oct. 31, 2023       |
| <b>Advisory panel meeting: Approve Study Design</b>                                                 | Early December 2023 |
| <b>Advisory panel meeting: Status Update</b>                                                        | February 2024       |
| <b>Advisory panel meeting: Discuss preliminary results</b>                                          | Near April 1, 2024  |
| <b>Circulate draft final report</b>                                                                 | May 1, 2024         |
| <b>Advisory panel meeting: Provide feedback</b>                                                     | Near May 15, 2023   |